

Question 24 · Unit 2 · 8 Marks

Explain career planning and potential appraisal as HRD subsystems.

Introduction

Both of these subsystems look at tomorrow. Performance appraisal mostly asks: how well was the present job done last year? Potential appraisal asks: how far can this person go? Career planning asks: what path shall we follow, together, so that the person's growth and the organisation's needs meet? Unit 1 said HRD must develop capabilities for expected future roles. These two subsystems are how that future is managed.

A beginner should not mix them. Potential is a judgement of capacity. Career planning is a process of goals and paths. They work best when they are integrated.

Detailed points

1. Potential appraisal — meaning. It is a systematic estimate of an employee's capability to handle higher or different responsibilities. Tools may include reviews by more than one boss, assessment centres (exercises, discussions, in-basket tests), work samples, and sometimes tests. It should be separated from the performance rating so that a brilliant specialist is not automatically labelled a future general manager.

2. Potential appraisal — purpose in HRD. Identify talent early; invest development money where it will matter; avoid the Peter Principle (promoting people until they fail); give the employee a fair reading of how the organisation sees his or her future. Without potential appraisal, career talk is either flattery or guesswork.

3. Career planning — meaning. Notes define it as the systematic process by which one selects career goals and the path to those goals. A career plan is a blueprint in which the career is mapped from entry toward later years (not necessarily only to retirement in today's world of change). It is a process of developing human resources rather than an event. It is not an end in itself but a means of managing people to obtain optimum results. It is continuous because the environment keeps changing.

4. Whose responsibility. Career planning is primarily the individual's responsibility, but it is the organisation's responsibility to provide information, counselling and opportunities, and to integrate employee goals with organisational goals. HRD's job is this joint process, not forcing a path the person hates, and not ignoring the person either.

5. Process of career planning (from notes). Identify individual needs and aspirations; analyse career opportunities in the organisation; identify match and mismatch; formulate and implement strategies (training, rotation, education); review the plan as life and the organisation change. Going through this process develops self-awareness — which is itself HRD.

6. How the two subsystems join. Potential data make career paths realistic. Career plans tell what experiences a high-potential employee needs next. If potential is labelled but no career action follows, the employee becomes bitter. If career promises are made without potential judgement, the organisation makes promises it cannot keep.

7. Benefits of treating them as HRD subsystems. Succession (someone ready for key jobs); retention of capable people; better promotions; motivation and morale; more stable workforce; better use of human resources — all listed in career-planning notes. They serve both the person and the firm.

8. Cautions. Secret potential lists, bias (gender, region, loyalty over ability), and rigid ladders in a fast-changing firm harm HRD. There should be more than one direction (specialist excellence as well as managerial ladder), feedback to the employee, and review. Otherwise these subsystems become politics.

Conclusion. Define potential appraisal as judgement of future capacity and career planning as a continuous joint path-setting process. Show their link, process, benefits and cautions. Together they make HRD long-term rather than a series of short training events.